Global Economics & Strategy

Core Convictions (Multi-Asset Rundown)

All our views on markets in a single page

This 'core conviction' document is our weekly one-page multi-asset rundown where we highlight key events in the week ahead and any view changes (see page 2).

Highlights this week

The mood at the IMF/WB meetings in Bangkok was notably more cautious than it would have been a month ago (see here for a replay of our macro conference panels). Recent bond-market stress, particularly in Europe, had shifted the debate from resilience towards fragility, while the tech sell-off prompted questions about whether the AI trade had reached a turning point. To us, that nervousness seemed disconnected from the continued strength in orders, investment and earnings upgrades across tech.

Q3 S&P 500 EPS is expected to grow 26.3% yoy and could ultimately come in close to 30%. The season also appears to be setting up against a relatively low bar, with nearly 70% of companies expected to deliver slower EPS growth than in Q2. Revisions remained unusually strong heading into earnings, while the median stock has already derated by 7%, suggesting that much of the expected deceleration is already priced in. Energy and Tech+ are expected to lead, with EPS growth of 120.7% and 56.7% yoy, respectively. Hyperscaler cloud revenues will be a key metric to watch: UBS estimates 60% yoy growth in Q3, versus 56% consensus and 50% in Q2. European earnings also look strong, with STOXX 600 EPS expected to grow 23% yoy. Q3 estimates have risen by roughly 4% since July, in contrast to the usual pre-season decline.

We have added a hike in January to our Fed forecast. We have taken Warsh' comments Friday as confirmation that the FOMC is comfortable skipping October, but last week's CPI and comments from a number of Fed speakers suggest to us the recalibration may consist of three (Sep, Dec, Jan) rather than two hikes. The willingness to move somewhat gradually we think is consistent with the nature of the inflation problem: inflation is not accelerating and the economy is not overheating, but 3% inflation is simply not converging towards 2% quickly enough.



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Cross-Asset Views

Economic Backdrop

Global energy markets and supply chains remain disrupted, though an increasing amount of oil reportedly appears to be exiting the Gulf via 'dark transits'. Earlier weakness in soft data (surveys) has dissipated, and hard data and financial conditions have held up. We are tracking global growth close to a long run average, with AI trade/investment continuing to neutralize - at the aggregate level - energy disruption and other headwinds. Central banks (including Fed/ECB) are assumed to deliver modest further tightening; but the number of hikes remains tied to the length/degree of energy disruption emanating from the Middle East.

UBS key macro forecasts

Real GDP growth (2026E):
- Global: 3.2%
- US: 2.4%
- China: 4.5%
- Eurozone: 0.8%

Rates: Hawkish risks, curve opportunities

- We remain in the phase of resilient growth, energy price risk, and broadening capital demand all at once. Central banks are unlikely to look through another energy shock so we continue to think that the bar for further hikes is low.
- **US**: the recent decline in yields has pushed valuations closer to fair value. Meanwhile, slow inflation progress and a more hawkish Fed path suggest limited room for yields to decline further ahead of year-end. Treasury's dealer questionnaire appears consistent with a shift in guidance rather than immediate long-end issuance cuts. We favor forward curve steepeners over outright duration.
- **Europe**: Do not fade any ECB tightening for 2027 and expect further flattening of the curve. If the ECB is overreacting to supply shocks, the growth cost is not obvious yet.
- **UK**: We expect lower gilt yields (~15bps on 10y) and flatter curves from the Autumn Budget. We beiieve the key political risk for gilts comes from early elections rather than this year's budget. If Burnham were to break the fiscal rules we see 10-year yields higher by 25-50bps with steeper curves.

FX: Fragile calm belies pending risks

- We favour selling rallies in EURUSD, maintaining our longstanding target of 1.1200 for year-end with an expected range low of 1.1050. Lingering French fiscal/political risks, European energy vulnerabilities and last week's upside US CPI surprise support our pro-USD view, though AI jitters and strong European capital inflows are pushing in the opposite direction, keeping us from lowering our EURUSD target for now.
- We continue to lean bearish JPY, targeting USDJPY 160.00 for year-end and favouring call RKO structures. We view intervention risk as the yen's only key support while real policy rates are negative and evidence of meaningful capital repatriation remains scant.
- We remain medium-term bearish CAD given a soft domestic growth backdrop and heightened trade risks, targeting USDCAD 1.4300 for year-end. In the near term, however, CAD may find some tactical support if the BoC hikes this month as we expect.
- The recent Norwegian budget proposal for 2027 would provide increased fundamental support for NOK due to the higher unadjusted non-oil fiscal deficit, funded via transfers from the oil fund. If the budget passes, we would likely lower our 11.20 end-2027 EURNOK target. Oil prices continue to dominate NOK price action in the short term.

Rate forecasts

10y yields at end-2026E:
- US Treasury: 5.20%
- Bund: 3.50%
- JGB: 2.75%
- Swiss: 0.50%
- UK: 5.25%
- Aus: 5.20%
- NZ: 4.90%

Equities: Heading into Q3, earnings momentum is constructive across the US and Europe

- **US:** Q3 earnings appear to be setting up against a low bar, with nearly 70% of companies expected to deliver slower EPS growth than in Q2. S&P 500 EPS is expected to grow 26.3% yoy and could finish close to 30%. Revisions remained unusually strong heading into the earnings season but the median stock has already derated 7% suggesting the deceleration is already priced. Energy and Tech+ are expected to lead with EPS growth at 120.7% and 56.7% yoy respectively. Hyperscaler cloud revenues will be a key metric to watch, with UBS estimating 60% yoy growth for Q3 (vs 56% consensus), up from 50% growth in Q2.
- **Europe:** Earnings momentum has improved, but expectations have risen with it. STOXX 600 EPS is expected to grow 23% yoy, with Q3 estimates rising roughly 4% since July versus the usual pre-season decline. Forward earnings revisions have been supported by Industrials, Tech, Financials and Materials.
- **Gamma rentals:** Our framework highlights opportunities in Tech, Financials, Materials and Energy in the US and Consumer discretionary, Materials, Tech and energy in Europe as the most attractive sectors in which to own pairwise volatility into earnings.

Credit: AI Credit Stress Tests Market Resilience

- **US**: IG/HY/LL spreads widened w/w (+2/+10/+9 to 83/321/501bp) with fund flows showing an up in quality and long floating rate bias (IG/LL inflows of $1.1/$0.8bn, HY outflows of -$0.9bn). CoreWeave yields rose above 15% and CDS crossed 1,000bp as rate sensitivity increased down the quality spectrum. This suggests a higher hurdle rate for future projects that will disproportionately impact leveraged datacenter operators/ neoclouds first. Our latest work finds US consumers resilient overall, but with rising middle-income vulnerability. We retain an up-in-quality bias in Tech credit and see 10–15bp relative downside in HY consumer cyclicals.
- **EU**: IG/HY spreads closed mixed w/w (-2/+15 to 95/346bp), with lower-quality credit under pressure as elevated rates and French political/fiscal uncertainty remain key themes. We continue to remain neutral French credit for now, but think opportunities exist, especially where repricing appears disconnected from genuine domestic exposure. Outside of France, we continue to prefer defensive sectors and subordinated debt of higher quality issuers over senior debt from lower-rated names for now.

FX, Commodities forecasts

All forecasts end-2026E:
- EUR/USD: 1.12
- USD/CNY: 7.00
- USD/JPY: 160
- EUR/GBP: 0.855
- EUR/CHF: 0.955
- AUD/USD: 0.69
- NZD/USD: 0.56
- USD/CAD: 1.43
- EUR/NOK: 10.75
- EUR/SEK: 11.50
- Gold (avg): 4,545
- ICE Brent (4Q avg) : 100/bbl

EM: Crunch time in Brazil

- Brazil heads to the final round of its Presidential Election Sunday. We still think Brazil looks compelling across multiple asset classes and stay long BRL and OW MSCI Brazil. BRL remains undervalued on our BEER metrics (fair value ~4.6/$), terminal rate pricing of 12.5% looks high against estimated neutral at ~8.5% / core CPI at 4.5%.We still see room for a further ~30% equity rally if 10y bond yields can fall to 10.5% next year.
- Hungary's 2027 draft budget will be unveiled this week; we think a deficit projection at or below 5%/GDP can anchor a PLN/HUF move sub 81 this year and continued HGB-Bund compression sub 175bp into Q1.
- Rate decisions in HU, KR, TR, ID and PH are due this week. Turkey is widely expected to cut 100bp and BSP to hike by 25bp. Korea results next week will be watched carefully for signs of accelerated shareholder returns amid equity turbulence.

Key events

19 Oct –China GDP(Q3)/IP/retail sales, Canada CPI, BOC business outlook survey, ECB's Lane/ Elderson speak
20 Oct –Hungary rates decision, Germany PPI, US ADP Weekly Employment/housing/ building permits, UK employment, EZ/Germany ZEW, Japan trade, China loan prime rate, BOE's Greene speaks, ECB's Lane speaks
21 Oct – Indonesia/Israel rates decision, UK/NZ CPI, UK PPI/RPI, ECB's Cipollone/Lagarde speak, BOE's Bailey speaks
22 Oct – Philippines/Turkey/South Korea rates decision, Japan CPI/machine tool orders, Australia PMIs(P), US claims, EZ confidence data/new car registrations, ECB's Kocher/ Panetta speak, Riksbank's Jansson speaks, SNB rate decision summary
23 Oct – Russia rates decision, US/UK/EZ/Germany/Japan/India PMIs(P), University of Michigan sentiment, UK/Canada retail sales, ECB's Cipollone speaks

Equity & Credit forecasts

All forecasts end-2026E:
- MSCI ACWI: 1,200
- S&P500: 8,100
- Stoxx 600: 690
- MSCI EM: 1,820
- MSCI AxJ: 1,210
- US IG OAS: 90bp
- US HY OAS: 325 bp
- EU IG OAS: 80 bp
- EU HY OAS: 285 bp

Source: UBS estimates

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